

BOHOU CAI

Department of Economics, The Chinese University of Hong Kong

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Education

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| 2020.08–present | Ph.D. candidate in Economics, The Chinese University of Hong Kong
(expected completion: July 2027) |
| 2016.09–2020.07 | Graduate study in International Trade, Xiamen University
(combined master’s–doctoral program; withdrew to pursue Ph.D. at CUHK) |
| 2012.09–2016.07 | B.A. in Financial Engineering, Xiamen University |

Research Interests

International Trade; International Macroeconomics; Applied Microeconometrics

Job Market Paper

- **“News Shocks and Inflation: Theory and Evidence from Large Oil Discoveries.”**
(with Liugang Sheng and Hongyan Zhao)
 - We study how news shocks affect inflation in open economies, using large oil and gas discoveries with realized production lags of at least five years as observable news about future output. Panel local projections show that discoveries raise core consumer prices over the subsequent decade, with about half the increase occurring prior to extraction. The response is driven by nontradables, while tradable and producer prices barely respond. The real exchange rate appreciates persistently and real activity expands ahead of extraction, while the current account first deteriorates and then improves as new oil comes online. The inflationary response is concentrated under inflexible exchange-rate regimes but muted under flexible ones. A three-sector New Keynesian small open-economy model rationalizes these findings through competing demand and exchange-rate channels, with exchange-rate policy determining which force dominates.

Work in Progress

- **“Geopolitical Risk, Product-Level Sensitivity, and International Trade.”** (with Liugang Sheng and Hongyan Zhao)
 - This paper asks whether geopolitical risk reduces trade more strongly for geopolitically sensitive products. We construct a new product-level measure of geopolitical sensitivity for HS6 products using large language models, capturing exposure to national security, dual-use applications, critical inputs, sanctions risk, and supply-chain vulnerability, and validate it against existing strategic-goods, export-control, and critical-raw-material classifications. Combining the measure with BACI bilateral trade data and bilateral geopolitical scores in a product-level gravity framework, we test whether geopolitical frictions disproportionately depress trade in high-sensitivity products.

Awards

- Postgraduate Studentship, The Chinese University of Hong Kong, 2020–2024

Teaching Experience

- **Teaching Assistant**, Department of Economics, The Chinese University of Hong Kong
Undergraduate — tutorial instructor (weekly tutorial sessions, grading, office hours)
 - * Basic Macroeconomics (2020–2023)
 - * Basic Microeconomics (2023)
 - * International Trade (2024)*M.Sc.*
 - * Review of Quantitative Methods (2024)
 - * Econometric Methods for Policy Evaluation (2025)
 - * Econometric Theory and Applications (2026)

Skills and Languages

- Stata, Python, MATLAB
- Chinese (Native), English (Fluent)

References

Prof. Liugang Sheng

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